

NEXACORE TECHNOLOGIES LIMITED

Annual Report and Financial Statements

For the Financial Year Ended March 31, 2025

NexaCore Technologies Limited | CIN: L72200TG1994PLC018823 | BSE: 507814 | NSE: NEXACORE

Registered Office: Plot No. 47, HITEC City, Hyderabad – 500 081 | www.nexacoretech.com

CEO & MD: Mr. Rajeev Khanna | CFO: Ms. Priya Nambiar | Chairman: Mr. Arvind Subramaniam

Auditor: S.R. Khandelwal & Associates LLP | Board Approval: April 17, 2025 | AGM: July 14, 2025

Board: 8 Directors | Independent: 62.5% | Women: 37.5% | Meetings FY2025: 6

BOARD OF DIRECTORS

Name	Designation	Category
Mr. Arvind Subramaniam	Chairman	Non-Executive Independent
Mr. Rajeev Khanna	CEO & Managing Director	Executive
Ms. Priya Nambiar	Executive Director & CFO	Executive
Mr. Vikram Shenoy	Director	Non-Executive Non-Independent (Promoter Nominee)
Ms. Deepa Krishnamurthy	Director	Independent
Mr. Suresh Balakrishnan	Director	Independent
Mr. Oliver Hartmann	Director	Independent
Ms. Yamini Rao	Director	Independent

Board Composition: 8 Directors | Independent Directors: 62.5% | Women Directors: 37.5% | Board Meetings Held in FY2025: 6

SECTION 1: CORPORATE OVERVIEW AND BUSINESS DESCRIPTION

NexaCore Technologies Limited is an Indian multinational information technology services and consulting corporation incorporated on September 14, 1994. Headquartered in Hyderabad, Telangana, the Company operates across 42 countries and serves clients in 58 nations across Banking and Financial Services, Manufacturing, Retail, Communication, Life Sciences, and Energy verticals. As of March 31, 2025, NexaCore employed 1,91,204 people globally and reported consolidated revenue of ₹98,450 crore, making it one of India's largest IT services companies by revenue.

The Company operates through five primary service lines: Application Development and Maintenance, which contributed 34.2% of consolidated revenue in FY2025; Cloud Infrastructure and Managed Services at 23.1%; AI and Data Analytics through its proprietary ARIA platform at 11.3%; Business Process Management at 10.0%; and Engineering and Product Development Services at 10.6%. The remaining 10.8% comprises other services and unallocated revenue.

Service Line Revenue Performance:

Service Line	FY2025 (₹ cr)	FY2024 (₹ cr)	YoY Growth	CC Growth
Application Development & Maintenance	33,690	33,154	+1.6%	-0.1%
Cloud Infrastructure & Managed Services	22,743	19,207	+18.4%	+16.2%
AI & Data Analytics (ARIA Platform)	11,125	7,810	+42.4%	+41.2%

Service Line	FY2025 (₹ cr)	FY2024 (₹ cr)	YoY Growth	CC Growth
Business Process Management	9,845	10,160	-3.1%	-4.8%
Engineering & Product Development	10,432	9,732	+7.2%	+5.9%
Others / Unallocated	10,615	11,694	-9.2%	-10.1%
Total Revenue	98,450	91,757	+7.3%	+5.1%

Geographic Revenue Distribution:

Geography	FY2025 (₹ cr)	FY2024 (₹ cr)	YoY %	% of Revenue
North America	55,133	51,383	+7.3%	56.0%
Europe	22,634	20,686	+9.4%	23.0%
Asia Pacific	9,943	9,360	+6.2%	10.1%
India (Domestic)	7,882	7,710	+2.2%	8.0%
Rest of World	2,858	2,618	+9.2%	2.9%
Total	98,450	91,757	+7.3%	100.0%

Group Structure — Key Subsidiaries:

Subsidiary	Country	Ownership	Revenue FY2025	PAT FY2025	Audit Status
NexaCore Inc.	USA	100%	₹48,240 cr	₹3,840 cr	Audited
NexaCore Europe GmbH	Germany	100%	₹18,480 cr	₹824 cr	Audited
NexaCore BPM Services Ltd India	India	74.7%	₹9,845 cr	₹380 cr	Unaudited at filing
NexaCore Digital Inc.	Canada	84.0%	₹1,480 cr	₹(384) cr	Unaudited — going concern
NexaCore Australia Pty Ltd	Australia	100%	₹4,240 cr	₹248 cr	Unaudited at filing

NexaCore Digital Inc. has recorded losses for four consecutive years with accumulated deficit of ₹840 crore and negative net worth of ₹48 crore before intercompany loans. The Canadian statutory auditor is expected to issue a going concern qualification by May 31, 2025.

SECTION 2: MANAGEMENT DISCUSSION AND ANALYSIS

Industry Context and Business Environment

Global IT services revenue growth moderated to approximately 5.8% in CY2024 as enterprise discretionary spending remained cautious, particularly in North America and Europe.

NexaCore's consolidated revenue grew 7.3% in reported rupee terms and 5.1% in constant currency for FY2025, within the Company's revised guidance range of 5%–7% in constant currency. However, this falls short of the 8%–10% constant currency growth originally guided at the start of the year. The revenue shortfall was concentrated in the BFSI vertical in North America during the first half of FY2025, where large banking clients deferred discretionary programs, delaying an estimated ₹2,100 crore of revenue from H1 into H2. Recovery in H2 was partial.

Revenue by Industry Vertical:

Vertical	FY2025 (₹ cr)	FY2024 (₹ cr)	YoY %	CC %
Banking, Financial Services (BFSI)	30,716	29,362	+4.6%	+2.8%
Retail & Consumer	14,768	13,763	+7.3%	+5.2%
Manufacturing	14,276	12,846	+11.1%	+9.2%
Communication & Media	9,254	9,819	-5.8%	-7.1%
Life Sciences & Healthcare	8,878	7,901	+12.4%	+10.6%
Energy, Utilities & Resources	8,387	7,528	+11.4%	+9.7%
Hi-Tech & Others	12,171	10,538	+15.5%	+13.8%
Total	98,450	91,757	+7.3%	+5.1%

Communication & Media declined 7.1% in constant currency for the second consecutive year; large deal TCV fell 66.7% to USD 80 mn; strategic review including potential divestment is underway.

The BFSI vertical, at 31.2% of revenue, represents the Company's largest single vertical. One significant BFSI client generating approximately ₹2,840 crore of annual revenue has communicated a potential 15%–20% reduction in technology spending for FY2026, representing a revenue risk of ₹426–568 crore.

Profitability Analysis

Consolidated operating margin (EBIT margin) for FY2025 was 19.8%, compared to 21.4% in FY2024 — a compression of 160 basis points. This marks the fourth consecutive year of operating margin decline from the peak of 24.6% in FY2022.

Operating Margin Bridge:

Factor	Basis Points
FY2024 EBIT Margin	21.4%
Revenue mix shift to lower-margin segments	-70 bps
Wage inflation (effective April 2024)	-110 bps
Subcontracting and third-party cost increases	-50 bps
Currency impact (INR appreciation)	-30 bps
Fresher hiring optimization savings	+40 bps
Automation and delivery pyramid rationalization	+30 bps
Facility and travel cost reductions	+20 bps
FY2025 EBIT Margin	19.8%

Employee costs (+10.1%) and subcontracting costs (+23.9% restated) both grew materially faster than revenue (+7.3%), driving the 160 bps margin compression.

Exceptional item: ₹412 crore — Reichmann Automotive GmbH SAP S/4HANA delivery dispute settlement (EUR 22 mn cash + EUR 22 mn remediation services); recognised Q3 FY2025; no insurance recovery.

SECTION 3: CONSOLIDATED STATEMENT OF PROFIT AND LOSS

For the Year Ended March 31, 2025 (₹ in crore)

Particulars	FY2025	FY2024	Change %
Revenue from Operations	98,450	91,757	+7.3%
Other Income	2,840	2,725	+4.2%
Total Income	101,290	94,482	+7.2%
EXPENSES			
Employee Benefit Expenses	57,680	52,410	+10.1%
<i>As % of Revenue</i>	<i>58.6%</i>	<i>57.1%</i>	<i>+150 bps</i>
Subcontracting & Third-Party Costs	9,124	7,362	+23.9%
<i>As % of Revenue</i>	<i>9.3%</i>	<i>8.0%</i>	<i>+130 bps</i>
Depreciation & Amortisation	3,412	2,894	+17.9%
Finance Costs	420	380	+10.5%
Other Operating Expenses	8,724	9,008	-3.2%
Exceptional Item — Reichmann Settlement	412	—	—
Total Expenses	79,772	72,054	+10.7%
Profit Before Tax	21,518	21,808	-1.3%
Current Tax Expense	7,640	7,980	-4.3%
Deferred Tax Credit	(352)	(290)	—
Total Tax Expense	7,288	7,690	-5.2%
Profit After Tax (PAT)	14,230	14,118	+0.8%
Other Comprehensive Income (OCI)	450	246	+83.0%
Total Comprehensive Income	14,680	14,364	+2.2%
EBITDA	22,922	22,357	+2.5%
EBITDA Margin	23.3%	24.4%	-110 bps
EBIT (Operating Profit)	19,510	19,463	+0.2%
EBIT Margin	19.8%	21.4%	-160 bps
Earnings Per Share			
Basic EPS (₹)	38.14	37.74	+1.1%
Diluted EPS (₹)	38.06	37.66	+1.1%
Weighted Average Shares — Basic (crore)	373.10	374.14	—
Weighted Average Shares — Diluted (crore)	373.86	374.92	—

Five-Year Income Statement Trend:

Particulars	FY2025	FY2024	FY2023	FY2022	FY2021
Revenue (₹ cr)	98,450	91,757	84,240	72,480	58,640
Revenue Growth	7.3%	8.9%	16.3%	23.6%	—
EBITDA Margin	23.3%	24.4%	25.9%	27.8%	26.4%
EBIT Margin	19.8%	21.4%	22.8%	24.6%	22.6%
PAT (₹ cr)	14,230	14,118	13,840	12,480	9,840
PAT Margin	14.5%	15.4%	16.4%	17.2%	16.8%
Basic EPS (₹)	38.14	37.74	36.98	33.28	26.24
EPS Growth	1.1%	2.1%	11.1%	26.8%	—

Revenue growth has decelerated each year from 23.6% in FY2022 to 7.3% in FY2025. Every margin metric has deteriorated for three to four consecutive years. EBIT margin has compressed 480 basis points from its FY2022 peak of 24.6% to 19.8% in FY2025. PAT grew only 0.8% in FY2025 against revenue growth of 7.3%, indicating significant margin pressure. EPS growth has decelerated from 26.8% in FY2022 to 1.1% in FY2025.

SECTION 4: CONSOLIDATED BALANCE SHEET

As at March 31, 2025 (₹ in crore)

ASSETS	Mar 31, 2025	Mar 31, 2024
NON-CURRENT ASSETS		
Property, Plant & Equipment (Net Block)	6,216	5,984
Capital Work-in-Progress	480	320
Right-of-Use Assets	4,124	3,840
Goodwill on Consolidation	7,640	7,640
Other Intangible Assets	2,840	3,120
Non-Current Investments	9,420	8,160
Deferred Tax Assets (Net)	1,840	1,480
Other Non-Current Assets	5,880	5,616
Total Non-Current Assets	38,440	36,160
CURRENT ASSETS		
Current Investments	14,560	11,104
Trade Receivables (Net of ECL Provision ₹840 cr)	18,420	15,940
Cash and Cash Equivalents	8,240	7,480
Other Bank Balances (Deposits > 3 months)	4,240	4,140

ASSETS	Mar 31, 2025	Mar 31, 2024
Unbilled Revenue (Current)	3,840	3,160
Other Current Assets	5,460	4,976
Total Current Assets	54,760	46,800
TOTAL ASSETS	93,200	82,960
EQUITY AND LIABILITIES		
EQUITY		
Equity Share Capital (Face Value ₹5; 372.24 crore shares)	1,860	1,871
Retained Earnings and Other Reserves	59,300	55,808
Non-Controlling Interests	2,040	2,557
Total Equity	63,200	60,236
NON-CURRENT LIABILITIES		
Lease Liabilities (Non-Current)	3,240	2,840
Employee Benefit Obligations (Non-Current)	1,840	1,240
Deferred Revenue and Other Non-Current Liabilities	2,120	1,704
Total Non-Current Liabilities	7,200	5,784
CURRENT LIABILITIES		
Trade Payables — MSME	284	248
Trade Payables — Others	4,536	4,392
Unearned Revenue (Deferred Revenue)	6,240	5,920
Employee Benefit Obligations (Current)	3,840	3,430
Lease Liabilities (Current)	840	720
Current Tax Liabilities	1,840	1,620
Other Current Liabilities	5,380	5,610
Total Current Liabilities	22,960	21,940
TOTAL EQUITY AND LIABILITIES	93,200	82,960

Key Balance Sheet Metrics:

Metric	FY2025	FY2024	Movement
Net Cash Position (Cash + Investments – External Debt)	₹32,220 cr	₹26,744 cr	+₹5,476 cr

Metric	FY2025	FY2024	Movement
External Debt	Nil	Nil	Zero debt maintained
Total Unbilled Revenue (Current + Non-Current)	₹6,086 cr	₹5,392 cr	+12.9%
Unbilled Revenue Outstanding > 24 Months	₹766 cr	₹1,092 cr	₹382 cr without written client confirmation
Working Capital (excl. financial investments)	₹27,260 cr	₹19,984 cr	+₹7,276 cr (+36.4%)
Working Capital as % of Revenue	27.7%	21.8%	+590 bps — significant deterioration
Current Ratio	2.17x	1.91x	Improving on liquidity
Goodwill / Total Assets	8.2%	9.0%	Goodwill unchanged; grown 10x in 5 years

Contingent Liabilities (Not Provided in Financial Statements):

Category	FY2025 (₹ cr)	FY2024 (₹ cr)
Transfer Pricing Disputes — AY2019-20 to AY2022-23	2,140	1,840
Other Direct Tax Demands (Under Appeal)	1,040	960
Indirect Tax Disputes (GST and Service Tax)	564	544
Legal and Contractual Disputes	440	268
Total Contingent Liabilities	4,184	3,612

Contingent liabilities have grown 15.8% year-on-year and represent 29.4% of FY2025 PAT of ₹14,230 crore. Transfer pricing disputes totalling ₹2,140 crore relate to the Income Tax Department's assessment of intercompany service fees between the Indian parent and NexaCore Inc. (USA) and NexaCore Europe GmbH (Germany) for assessment years FY2020 through FY2023. New demands of ₹592 crore were added during FY2025. Additionally, the Company settled ₹156 crore of earlier demands through the Vivad se Vishwas II scheme in FY2025. An additional off-balance-sheet obligation exists in the form of a put option granted to Zenith Capital Partners over its 25.3% stake in NexaCore BPM Services Limited, exercisable between FY2028 and FY2030 at 12x trailing EBITDA — estimated at approximately ₹1,457 crore at FY2025 EBITDA levels. This obligation is not reflected in contingent liabilities.

SECTION 5: CONSOLIDATED STATEMENT OF CASH FLOWS

For the Year Ended March 31, 2025 (₹ in crore)

Particulars	FY2025	FY2024
A. OPERATING ACTIVITIES		
Profit Before Tax	21,518	21,808
Add: Depreciation & Amortisation	3,412	2,894
Add: Finance Costs (Lease)	384	340
Add: Share-Based Compensation	480	420

Particulars	FY2025	FY2024
Add: ECL Provision on Receivables	284	196
Add: Exceptional Item (Reichmann)	412	—
Less: Interest and Dividend Income	(2,114)	(1,822)
Less: Net Investment Gains	(426)	(530)
Operating Profit Before Working Capital Changes	23,950	23,306
Increase in Trade Receivables	(2,764)	(1,894)
Increase in Unbilled Revenue	(680)	(440)
Increase in Other Assets	(1,264)	(466)
Increase in Trade Payables and Liabilities	554	1,194
Cash Generated from Operations	19,796	21,700
Income Taxes Paid (Net of Refunds)	(7,614)	(8,320)
Net Cash from Operating Activities (A)	12,182	13,380
B. INVESTING ACTIVITIES		
Capital Expenditure — PP&E and Intangibles	(3,120)	(2,672)
Proceeds from PP&E Disposal	84	42
Acquisition Payment — Klar Analytics (deferred)	(480)	(1,240)
Net Purchase of Investments	(2,236)	(1,700)
Interest and Dividend Received	2,114	1,822
Other Investing Activities	(20)	(284)
Net Cash Used in Investing Activities (B)	(3,658)	(4,032)
C. FINANCING ACTIVITIES		
Lease Liabilities Repaid (Principal + Interest)	(1,164)	(980)
Dividends Paid to Shareholders	(9,676)	(9,524)
Buyback of Equity Shares (Including Buyback Tax)	(1,820)	—
Proceeds from ESOP Exercises	128	96
Other Finance Costs	(36)	(40)
Net Cash Used in Financing Activities (C)	(12,568)	(10,448)
Net Change in Cash (A + B + C)	(4,044)	(1,100)
Opening Cash and Cash Equivalents	7,480	8,324

Particulars	FY2025	FY2024
Effect of Exchange Rate Changes on Cash	804	256
Closing Cash and Cash Equivalents	4,240	7,480

Free Cash Flow Analysis:

Particulars	FY2025	FY2024	FY2023	FY2022	FY2021
Net Cash from Operating Activities (₹ cr)	12,182	13,380	14,240	13,480	10,240
Less: Capital Expenditure — Strict (₹ cr)	(3,120)	(2,672)	(2,240)	(1,984)	(1,640)
Free Cash Flow — Strict Definition (₹ cr)	9,062	10,708	12,000	11,496	8,600
FCF Margin	9.2%	11.7%	14.2%	15.9%	14.7%
FCF as % of PAT	63.7%	75.8%	86.7%	92.1%	87.4%
Dividend Paid (₹ cr)	9,676	9,524	8,840	7,240	5,040
Dividend Payout / FCF	106.5%	89.2%	69.2%	60.9%	56.4%

Free cash flow has declined for three consecutive years from ₹12,000 crore in FY2023 to ₹9,062 crore in FY2025. FCF as a percentage of PAT has fallen from 92.1% in FY2022 to 63.7% in FY2025 — well below the peer average of 83.3%. Total dividends paid in FY2025 (₹9,676 crore) exceeded strict free cash flow generation (₹9,062 crore) for the first time in the Company's history, representing a dividend payout ratio of 106.5% of FCF. The Company's Dividend Distribution Policy targets a payout of 60%–80% of consolidated FCF over a rolling three-year period. The FY2025 payout breaches the upper bound of this policy when measured against audited FCF.

Dividend and Capital Return:

Particulars	FY2025	FY2024	FY2023
Interim Dividend Per Share (₹)	12.00	12.00	12.00
Final Dividend Per Share (₹)	14.00	14.00	12.00
Total Dividend Per Share (₹)	26.00	26.00	24.00
Total Dividend Outflow (₹ cr)	9,676	9,524	8,840
Buyback Amount (₹ cr)	1,820	—	—
Shares Bought Back (crore)	2.14	—	—
Buyback Price Per Share (₹)	850	—	—
Total Capital Returned to Shareholders (₹ cr)	11,496	9,524	8,840
Total Capital Return as % of PAT	80.8%	67.5%	63.9%

SECTION 6: KEY FINANCIAL RATIOS AND PEER BENCHMARKING

A. Consolidated Financial Ratios — Five-Year Trend:

Ratio	FY2025	FY2024	FY2023	FY2022	FY2021	Trend
EBITDA Margin	23.3%	24.4%	25.9%	27.8%	26.4%	↓ Declining
EBIT Margin	19.8%	21.4%	22.8%	24.6%	22.6%	↓ 4 Consecutive Years
PAT Margin	14.5%	15.4%	16.4%	17.2%	16.8%	↓ 3 Consecutive Years
Return on Equity (ROE)	23.9%	25.1%	25.8%	27.4%	26.4%	↓ Declining
Return on Capital Employed (ROCE)	27.9%	29.4%	31.2%	33.4%	30.8%	↓ Declining
Days Sales Outstanding (DSO)	71.2	63.4	57.2	54.8	52.4	↑ Worsening 5 Years
Working Capital / Revenue	27.7%	21.8%	19.4%	17.8%	16.4%	↑ Deteriorating
FCF / PAT	63.7%	75.8%	86.7%	92.1%	87.4%	↓ 3 Consecutive Years
Dividend Payout / FCF	106.5%	89.2%	69.2%	60.9%	56.4%	↑ Exceeds Policy
Employee Cost / Revenue	58.6%	57.1%	55.8%	54.2%	55.4%	↑ Rising
Capex / Revenue	3.2%	2.9%	2.7%	2.7%	2.8%	↑ Rising
Current Ratio	2.17x	1.91x	1.84x	1.72x	1.68x	✓ Improving
Basic EPS (₹)	38.14	37.74	36.98	33.28	26.24	✓ Growing
EPS Growth	1.1%	2.1%	11.1%	26.8%	—	↓ Decelerating

DSO has worsened every year for 5 consecutive years, deteriorating 18.8 days total — representing approximately ₹5,076 crore of additional cash tied up in receivables vs FY2021 performance.

B. Peer Benchmarking (FY2025):

Metric	NexaCore	Infoedge Systems	Zenith Global	Apex Digital	Globalink IT	Peer Average
Revenue (₹ cr)	98,450	1,42,840	84,240	62,480	48,240	—
CC Revenue Growth	5.1%	6.8%	7.4%	5.4%	9.2%	7.2%
EBIT Margin	19.8%	22.8%	21.2%	18.8%	17.2%	20.0%
PAT Margin	14.5%	17.2%	15.8%	14.0%	13.2%	15.1%
ROE	23.9%	28.4%	25.8%	22.4%	19.8%	24.1%
ROCE	27.9%	32.4%	30.4%	27.4%	24.8%	28.8%
DSO (Days)	71.2	62.4	64.8	68.4	58.4	63.5
FCF / PAT	63.7%	89.6%	83.5%	81.4%	94.2%	87.2%
Revenue / Employee (₹ lakh)	51.5	58.4	54.8	48.4	44.8	51.6
Attrition Rate	17.4%	13.8%	14.2%	15.4%	16.2%	14.9%

NexaCore has the lowest FCF/PAT (63.7% vs peer average 87.2%), second-highest DSO (71.2 days), and revenue growth below 4 of 5 peers — indicating below-peer-average cash conversion and operational efficiency.

C. Investor Metrics:

Metric	FY2025	FY2024
NSE Closing Price (March 31)	₹842	₹910
52-Week High	₹992	₹968
52-Week Low	₹824	₹840
Market Capitalisation (₹ cr)	3,13,481	3,40,182
Book Value Per Share (₹)	169.35	161.00
Price-to-Earnings (P/E) Ratio	22.1x	24.1x
Price-to-Book Value (P/B)	5.1x	5.5x
EV / EBITDA	14.2x	15.8x
FII Holding	24.73%	26.42%
Promoter Holding	28.40%	28.60%
Domestic Mutual Fund Holding	19.99%	19.84%

SECTION 7: RISK FACTORS, AUDITOR'S REPORT AND GOVERNANCE

A. Key Risk Factors

1. Revenue Concentration Risk: North America represents 56.0% of consolidated revenue. The Company's top 20 clients contribute 54.8% of revenue. A slowdown in US enterprise technology spending could materially impact revenue growth. One BFSI client generating ₹2,840 crore annually has indicated a potential 15%–20% spending reduction for FY2026.

2. Operating Margin Risk: Operating margin has compressed 480 basis points from its FY2022 peak. Employee costs and subcontracting costs are both growing faster than revenue. The planned margin recovery in FY2026 depends on successful execution of fresher hiring (18,000–22,000 planned), subcontractor reduction (4,200 roles), and a wage freeze for the broader workforce — all subject to execution uncertainty in a high-attrition environment.

3. Talent and Attrition Risk: Voluntary attrition increased from 14.9% in FY2024 to 17.4% in FY2025. Attrition in AI and cloud skill areas was between 22.8% and 26.4%. The Company's compensation for AI and cloud roles is estimated to be 12%–18% below market median. No overall wage increase is planned for the broader FY2026 workforce. Average employee tenure declined from 4.6 years to 4.2 years.

4. Goodwill Impairment Risk: The Company carries goodwill of ₹7,640 crore, entirely allocated to the AI and Data Analytics CGU following the Klar Analytics GmbH acquisition (December 2023, EUR 284 million). The annual impairment test uses a terminal growth rate of 5.8% — above the industry benchmark range of 2.5%–4.0% — with a headroom of only ₹820 crore. A reduction in the terminal growth rate to 3.5% would reduce headroom to ₹180 crore; at 2.5%, an impairment charge of approximately ₹280 crore would be triggered. Additionally, 18 of the 42 designated key employees at Klar Analytics (42.9%) have resigned since acquisition, including the Chief Technology Officer in October 2024.

5. Legal and Regulatory Risk: Transfer pricing disputes of ₹2,140 crore are pending before the Income Tax Appellate Tribunal. A US Department of Justice Civil Investigative Demand was received by NexaCore Inc. on April 11, 2025 regarding H-1B visa practices for FY2021–FY2023. Potential outcomes include civil penalties and, in severe scenarios, debarment from the H-1B program — which would significantly impair the ability to deploy

talent to US client sites, affecting 56% of revenue. The Company retained Baker McKenzie LLP as external counsel. No provision has been made as the outcome cannot be estimated.

6. Subsidiary and Audit Risk: Three subsidiaries representing 15.3% of consolidated revenue were unaudited at the filing date of this Annual Report. NexaCore Digital Inc. is expected to receive a going concern qualification from its Canadian auditor. NexaCore BPM Services Limited has ₹100 crore of trade receivables that remained unreconciled following an ERP migration.

B. Independent Auditor's Report — Summary

Auditor: S.R. Khandelwal & Associates LLP, Chartered Accountants | FRN: 112843W/W-200041

Audit Opinion: Unmodified — The financial statements give a true and fair view of the consolidated financial position of NexaCore Technologies Limited as at March 31, 2025.

Emphasis of Matter Paragraphs (opinion not modified):

1. Exceptional charge of ₹412 crore recognised during the year relating to the Reichmann Automotive GmbH contractual dispute settlement (Note 17).
2. Civil Investigative Demand received by NexaCore Inc. from the US Department of Justice on April 11, 2025 relating to H-1B visa application practices. Outcome is uncertain and no provision has been recognised.

Key Audit Matters:

KAM	Issue	Auditor Finding
Revenue Recognition — Fixed-Price Contracts	54% of revenue from fixed-price contracts using percentage-of-completion method. Requires management estimation of costs to complete across 2,412 active contracts.	Systematic cost underestimation in Engineering Services — average 8.4% of contract value. 38 of 84 sampled contracts (45.2%) lacked independent review before revenue recognition. Significant Deficiency identified in internal controls.
Goodwill Impairment Assessment	₹7,640 crore goodwill in AI/Data Analytics CGU. Annual VIU test using discounted cash flow model.	Terminal growth rate of 5.8% is at the aggressive end of market benchmarks (range observed: 2.5%–4.5%). Headroom of ₹820 crore is narrow. At 2.5% terminal growth rate, impairment of ₹280 crore would arise. Independent third-party review committed for FY2026.
Transfer Pricing Disputes	Intercompany service fees between Indian parent and overseas subsidiaries disputed for AY2019-20 to AY2022-23. Outstanding exposure: ₹2,140 crore.	₹156 crore settled via government settlement scheme in FY2025 — implies some technical merit in the Department's position for settled items. Assessed as "possible but not probable" of adverse outcome overall.
NexaCore Digital Inc. — DTA Recoverability	Deferred tax asset of ₹84 crore on 4-year accumulated losses. Recognition requires probability of future taxable profits.	Assessed as a "close judgment." Entity has missed its own revenue forecasts for two consecutive years. Going concern qualification expected from Canadian auditor.

Auditor's Observation — Consistency of Other Information: The CEO's letter to shareholders states free cash flow of ₹12,840 crore. The audited Statement of Cash Flows yields FCF of ₹9,062 crore under the standard definition (operating cash flow less capital expenditure). The auditor has requested that management provide prominent reconciliation of these two figures in future shareholder communications. Management has committed to do so. The Audit Committee has formally acknowledged this inconsistency.

Internal Financial Controls — Significant Deficiencies:

- Deficiency 1: Revenue recognition cost-to-complete estimation in Engineering Services without independent review (45.2% of sampled contracts). Remediation: Independent Cost Review protocol and Contract Margin Review Board established Q4 FY2025.
- Deficiency 2: Six vendors received payments before completion of mandatory background verification. Remediation: Automated SAP vendor master controls implemented December 2024.

C. Corporate Governance Summary

Governance Metric	FY2025	FY2024	FY2023
CEO Total Remuneration (₹ cr)	41.84	38.40	34.80
CEO Pay Growth vs PAT Growth	+8.9% vs +0.8%	—	—
CEO-to-Median Employee Pay Ratio	53.4x	52.1x	48.4x
Variable Pay Approved (% of Maximum)	72%	85%	90%
Ethics Hotline Complaints	284	248	192
Substantiated Complaints	48 (16.9%)	38 (15.3%)	28 (14.6%)
POSH Complaints Filed / Resolved	24 / 22	18 / 16	14 / 12
Insider Trading Window Breach	1 (self-reported to SEBI)	0	0
Audit Committee Meetings	8	7	6
Secretarial Audit Observations	3	1	0

CEO remuneration grew 8.9% in FY2025 against PAT growth of 0.8% — remuneration growing approximately 11 times faster than earnings. The CEO missed revenue growth, PAT growth, and DSO improvement targets for FY2025 yet received 72% of maximum variable pay through Nomination and Remuneration Committee discretionary adjustment. The CEO-to-median employee pay ratio has increased for three consecutive years from 48.4x to 53.4x.

SECTION 8: ESG AND SUSTAINABILITY DISCLOSURES

A. Environmental Performance:

Metric	Unit	FY2025	FY2024	FY2023	FY2027 Target
Scope 1 GHG Emissions (Direct)	tCO ₂ e	4,840	4,480	4,240	—
Scope 2 GHG Emissions (Electricity)	tCO ₂ e	84,240	92,840	98,240	—
Scope 3 GHG Emissions (Business Travel)	tCO ₂ e	1,48,240	1,24,840	1,08,240	87,136
Net GHG Emissions (After Carbon Offsets)	tCO ₂ e	1,97,320	2,02,160	2,06,720	—
Carbon Offsets Retired	tCO ₂ e	40,000	20,000	10,000	—
Renewable Energy Share	%	40.0%	35.0%	28.4%	—
Total Energy Consumed	GJ	8,40,240	7,84,200	7,24,840	—
Water Consumed	KL	1,24,840	1,18,240	1,12,480	—
E-Waste Recycled Through Certified Vendors	%	100.0%	100.0%	100.0%	Maintained

Metric	Unit	FY2025	FY2024	FY2023	FY2027 Target
--------	------	--------	--------	--------	---------------

CSR Spend (₹ cr) / Statutory Obligation (₹ cr) — 281 / 272 244 / 232 210 / 198 —

Scope 3 emissions are 19.1% above the FY2022 baseline against a FY2027 target of -30%; a reduction of 41.2% in 2 years is required — not achievable at current trajectory..

Renewable energy share improved from 35.0% to 40.0% in FY2025, driven by commissioning of 4.2 MW rooftop solar and a 7-year Power Purchase Agreement signed with a Rajasthan wind energy developer. Scope 2 emissions declined as a result. CSR spend of ₹281 crore exceeded the statutory obligation of ₹272 crore; NexaSkill Foundation trained 84,240 youth in FY2025 with a placement rate of 45.4%.

B. Employee and Social Metrics:

Metric	FY2025	FY2024	FY2023
Total Permanent Employees	1,91,204	1,87,863	1,84,240
Women Employees	34.8%	34.3%	33.8%
Employees with Disabilities	284	248	210
Voluntary Attrition (IT Services)	17.4%	14.9%	12.4%
Average Employee Tenure (Years)	4.2	4.6	5.1
Revenue per Employee (₹ lakh)	51.5	48.8	45.7
Cost per Employee (₹ lakh)	30.2	27.9	25.8
Training Hours per Employee	96.4	86.7	78.4
L&D Spend as % of Employee Costs	0.83%	0.80%	0.76%
Client NPS (Net Promoter Score)	54	58	62
Employee NPS (eNPS)	28	34	41
POSH Complaints Filed	24	18	14
Workplace Accidents (Reportable)	4	2	—
Workplace Fatalities	0	0	0

Client NPS (62→54) and eNPS (41→28) are both in 3-year structural decline; eNPS of 28 is below the top-quartile IT industry benchmark of 40–60.

SECTION 9: OUTLOOK, CERTIFICATIONS AND CLOSING DECLARATIONS

A. FY2026 Guidance and Management Outlook

Parameter	FY2026 Guidance	FY2025 Actual
Revenue Growth (Constant Currency)	6% – 9%	5.1%
EBIT Margin	20.0% – 21.0%	19.8%
Effective Tax Rate	32.5% – 34.0%	33.9%
Capital Expenditure (Strict)	₹3,200 – ₹3,600 crore	₹3,120 crore

Parameter	FY2026 Guidance	FY2025 Actual
Net Headcount Addition	8,000 – 12,000	3,341
Fresher Hiring Target	18,000 – 22,000	12,840
DSO Target	64.0 days	71.2 days

Margin recovery levers: fresher hiring (+80–100 bps), subcontractor reduction 4,200 roles (+40–60 bps), wage freeze broader workforce (+30–40 bps), ARIA mix improvement (+20–30 bps).

DSO target of 64.0 days (from 71.2) would release ₹1,943 crore in working capital; automated billing system (₹48 crore) in implementation Q1 FY2026.

Subsequent Events (Post March 31, 2025):

- April 8, 2025: 7-year managed services contract signed with a leading North American insurance group; TCV USD 420 million. Revenue ramp over 18 months.
- April 11, 2025: NexaCore Inc. received a Civil Investigative Demand from the US Department of Justice regarding H-1B visa application practices for FY2021–FY2023. Baker McKenzie LLP retained. Outcome cannot be estimated; no provision made.
- April 17, 2025: Board of Directors recommended final dividend of ₹14 per equity share for FY2025, subject to shareholder approval at the AGM on July 14, 2025.

B. Five-Year Financial Summary

Particulars	FY2025	FY2024	FY2023	FY2022	FY2021
Revenue (₹ cr)	98,450	91,757	84,240	72,480	58,640
EBITDA (₹ cr)	22,922	22,357	21,840	20,124	15,480
EBIT (₹ cr)	19,510	19,463	19,240	17,840	13,240
PAT (₹ cr)	14,230	14,118	13,840	12,480	9,840
Basic EPS (₹)	38.14	37.74	36.98	33.28	26.24
Dividend Per Share (₹)	26.00	26.00	24.00	20.00	14.00
Free Cash Flow — Strict (₹ cr)	9,062	10,708	12,000	11,496	8,600
Total Assets (₹ cr)	93,200	84,960	76,840	64,240	52,480
Total Equity (₹ cr)	63,200	60,236	55,484	48,240	38,840
Net Cash Position (₹ cr)	32,220	26,744	22,640	18,480	14,240
Goodwill (₹ cr)	7,640	7,640	5,120	2,840	840
DSO (Days)	71.2	63.4	57.2	54.8	52.4
ROE	23.9%	25.1%	25.8%	27.4%	26.4%
ROCE	27.9%	29.4%	31.2%	33.4%	30.8%

C. CEO and CFO Certification

As required under Regulation 17(8) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

We, Mr. Rajeev Khanna, Chief Executive Officer and Managing Director, and Ms. Priya Nambiar, Executive Director and Chief Financial Officer, hereby certify to the best of our knowledge and belief that the financial statements for the year ended March 31, 2025 do not contain any materially untrue statement, give a true and fair view of the Company's affairs, and are in compliance with applicable accounting standards and regulations. The Company's internal financial controls are adequate and operating effectively, subject to the two Significant Deficiencies identified by the Statutory Auditors — relating to revenue recognition cost-to-complete estimation in Engineering Services and vendor onboarding approval controls — both of which are in the process of remediation as described in Section 7B of this Report.

Mr. Rajeev Khanna Ms. Priya Nambiar

CEO & Managing Director Executive Director & CFO

DIN: 07284193 DIN: 08412066

Place: Hyderabad Date: April 17, 2025

D. Declaration by Board Chairman

I, Mr. Arvind Subramaniam, Chairman of the Board of Directors, confirm that the Board has reviewed this Annual Report and that to the best of the Board's knowledge, it presents a complete and accurate picture of the Company's financial performance, governance, and risk position for FY2025. The Board specifically acknowledges three matters requiring shareholder attention: the FCF definition inconsistency between shareholder communications and audited statements, the narrow goodwill impairment headroom which will be subject to independent third-party review in FY2026, and the post-balance-sheet DoJ inquiry which the Company is addressing with full transparency and external legal support.

Mr. Arvind Subramaniam

Chairman, Board of Directors | DIN: 00248432

Place: Hyderabad | Date: April 17, 2025

This Annual Report has been approved by the Board of Directors at its meeting held on April 17, 2025 and submitted to BSE Limited and National Stock Exchange of India Limited on the same date in accordance with Regulation 34 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.